use. A typical passenger car is made of 69 per cent steel and 5 per cent aluminium besides copper, plastic etc.

Solutions on Offer

The auto industry believes the solution lies in taking the automobile makers, the most important stakeholders, on board. And for that, the "conflict of interest" clause needs to be relaxed. "We are keen to contribute to the compliance, inspection and fitness certification regime because we have a wide network. It's not also easy, like if you have to check the braking of heavy commercial vehicles, it's a very big set-up," says Prashant K. Banerjee, executive director, Society of Indian Automobile Manufacturers (SIAM). "But first there needs to be an intent clarity and legal clarity."

Maruti's Bharti says the government should do this. "Keep checks and balances, audit the centres and also give the customer the option to visit other dealers if he is not satisfied with his test results with one. It should be allowed. For a theoretical and remote possibility, we are not allowing the testing infrastructure to come into action," he says.

For policymakers, it's a matter of making it a profitable deal for both the consumer and the businessman. Gujarat appears to have cracked it; no wonder, it boasts 25 ATSes. "We took everyone on board—the businessmen, the industry bodies and even the banks. We showed them the prospective market size. It worked," says Manoj Kumar Das, additional chief secretary (transport), Gujarat. The state has created a single-window system to disburse approvals for ATS and scrapping centres within a few days. It also educated banks about the new business opportunities in the emerging ecosystem of scrapping. "We showed banks the financial model, the benefits in supporting these businesses... how many lakhs of vehicles to be scrapped, how much money a testing station can make etc.," Das says.

UP transport minister Singh agrees. "The businessman is spending some Rs 10 crore to set up an ATS. He needs to get business, else why will he get into this?" he asks. "Therefore, we are keeping monopoly away so that one person cannot get more than two ATSes. All past dues on old vehicles are waived if it is scrapped so that consumers are encouraged and the scrapping facilities get business."



"We are keen to contribute to the compliance, inspection and fitness certification regime"

PRASHANT K. BANERJEE *Executive Director, Society of Indian Automobile Manufacturers*

Auto expert Gaurav Vangaal of S&P Global Mobility suggests another unconventional way—make it inconvenient for people to keep old vehicles, like in Delhi. "Thanks to the NGT (National Green Tribunal) orders," he says, "old vehicles are getting impounded from parking lots of colonies in Delhi. All those people end up buying new vehicles."

In Delhi, much before the scrapping policy came into being, the NGT mandated that 10-year-old diesel vehicles and 15-year-old petrol vehicles needed to be off the roads, in what was even stricter than the scrapping policy, to curb pollution. Vangaal says moves like this will jump-start the scrapping ecosystem. "This needs to happen in other parts of the country as well. That will drive demand for new cars, kick-start scrapping, and all the things like ATS set-up etc. will fall in place faster," he says. Till then, the road to the scrapyard will be a long and winding one. ■

Vehicle Scrappage

Frequently Asked Questions

▸ Do I have to scrap my car or motorbike after 15 years?

No. Scrapping is voluntary. Your vehicle gets a registration certificate that is valid for 15 years after which it has to appear for a fitness test to be re-registered for five more years. If it fails this test, it will be an end of life vehicle (ELV).

▸ What happens after 20 years?

Your vehicle goes through the test once again. If it fails, it becomes an ELV. You can choose to keep the vehicle, but states may bring out rules like impounding ELVs if parked in public places etc.

▸ My car is in good condition; it hasn't run much even though it is 15-20 years old. What do I do?

The scrapping policy will test vehicles against 'roadworthiness' irrespective of how much they have run. If your car passes the test, you can continue to use it. But re-registration fees would be higher.

▸ What is roadworthiness?

At automated testing stations (ATS), machines will check the vehicle's emission, condition of its tyres, the body, suspension, steering, lights etc. from a safety point of view. When the vehicle passes the test, it is considered roadworthy.

▸ I have a small truck. When should I scrap my vehicle?

Commercial vehicles anyway have to undergo fitness tests every two years for the first eight years and every year thereafter. All these tests will ultimately be through the ATS network.

▸ What if I don't want to buy a new car after scrapping my old one?

You can sell your Certificate of Deposit to someone for a mutually agreed price. Digital platforms are coming up in the ecosystem.

▸ Can I scrap my vehicle even though it is not ELV?

Yes. You can scrap any vehicle and avail of the benefits of the policy.